

US Energy Sector M&A & Valuation TLDR - 2026-07-21

US Energy Sector

Generated on 2026-07-21

CONFIDENTIAL - FOR INTERNAL USE ONLY

1. 30-Second TL;DR

- Iraq signed a \$60 billion energy deal with US and British oil majors to enhance its energy sector and geopolitical alliances.
- NextEra Energy plans to invest \$59 billion in renewable energy infrastructure through 2032 to align with sustainability trends.
- The energy sector shows cautious optimism, with an average EV/EBITDA multiple of 8.5x; oil and gas at 6.3x, while renewables command higher multiples at 15.1x.

2. 1-Minute TL;DR

- Iraq's \$60 billion energy deal with US and British oil majors aims to transform its energy landscape, focusing on oil and gas production and infrastructure development.
- NextEra Energy's \$59 billion capital expenditure plan through 2032 emphasizes renewable energy growth, aligning with global sustainability trends.
- The energy sector is cautiously optimistic, with Brent crude prices around \$85.28 per barrel, while the average EV/EBITDA multiple stands at 8.5x, with oil and gas at 6.3x and renewables at 15.1x.
- Key market drivers include rising oil prices and the energy transition, while geopolitical tensions and regulatory challenges pose risks.

3. 2-Minute TL;DR

- Iraq's recent \$60 billion energy deal with US and British oil majors is a strategic move to reshape its energy sector, focusing on upstream oil and gas production and infrastructure development. The deal aims to position Iraq as a critical energy hub, although it faces risks from political instability and regulatory challenges.
- NextEra Energy's ambitious \$59 billion capital expenditure plan through 2032 is geared towards expanding its renewable energy capacity, reflecting a commitment to sustainability and long-term growth. The investment aligns with global trends towards reducing carbon emissions, although it carries

US Energy Sector M&A & Valuation TLDR - 2026-07-21

US Energy Sector

execution risks related to high capital outlay.

- The energy sector is navigating a complex landscape, with Brent crude prices at approximately \$85.28 per barrel, driven by geopolitical tensions. The average EV/EBITDA multiple for the sector is around 8.5x, with oil and gas trading at 6.3x and renewable energy at 15.1x, indicating a premium for high-growth sectors.

- Market dynamics are influenced by rising oil prices and the ongoing energy transition, while headwinds include geopolitical tensions and regulatory scrutiny. Analysts express cautious optimism about the sector's long-term prospects, emphasizing the need for companies to adapt to changing market conditions.